

Benefits from SEZ

- Expected investment of Rs.100,000 crore including foreign direct investments of US \$ 5-6 billion by the end of December 2007 in infrastructure development of SEZs and in setting up of units in zones estimated on the basis of projections made by the promoters at the time of seeking approval for establishment of SEZs.
- Exports from the existing SEZs set up prior to 10 February 2006 increased from Rs.13,854 crore in 2003-04, to Rs.34,789 crore in 2006-07, an increase of about 151% in the last three years.
- Presently, the SEZs set-up prior to the SEZ act are providing employment to about 1.85 lakh persons of which about 40% are women.
- In the 130 SEZs notified so far, investment of Rs. 43,123 crore has been made and direct employment to about 35,053 persons.
- It is expected that these 130 SEZs when fully operational, would provide about 17.45 lakh or 1.7 million jobs.
- If all the 341 SEZs for which formal approval has been granted become operational, investment of the order of Rs.3,00,000 crore is expected to take place and 4 million additional jobs may get created.
- Advantages would be to all the stakeholders:
 - (a) It will bring in opportunities for manufacturing / producing value-added products and bring the markets closer to producers of raw materials.
 - (b) The proposals for setting up of SEZs in the agro-sector and are likely to boost the export of processed food and agro products, which will benefit the farmers of the country.
- SEZ scheme will act as a catalyst in the developmental process of the country.
- The benefits derived from SEZs far outweigh the concessions/incentives given to the SEZs.

Frequently Asked Questions About SEZs

What is an SEZ?

An SEZ, or Special Economic Zone, is essentially an industrial cluster meant largely for exports. An SEZ is governed by a special set of rules aimed at attracting direct investment for export-oriented production. SEZs – earlier known as Export Processing Zones or Free Trade Zones – are duty free enclaves which are treated as foreign territory only for trade operations and duties and tariffs.

Other salient features of SEZs are: manufacturing or service activities are allowed; full freedom for sub-contracting; no routine examination by customs authorities of export/import cargo; units in SEZs have to become net foreign exchange earners within three years; and domestic sales from the zones are subject to full customs duty and the import policy in force.

Typically, an SEZ is marked by best infrastructure and least red tape.

What are the incentives and facilities offered to SEZs?

Incentives and facilities offered to units in the SEZs in order to attract investments (including foreign direct investment) include duty free import or domestic procurement of goods for the development, operation and maintenance of SEZ units; 100 % income tax exemption on the export income of SEZ units under Section 10 AA of the Income Tax Act for the first 5 years, 50 % for the next 5 years and 50 % for the ploughed back export profit for the next 5 years; exemption from central sales tax; exemption from service tax; and single window clearance for the establishment of SEZ units.

What is the governments policy for approving SEZs?

There is a Board of Approvals for this purpose. The Board of Approvals is guided by parameters such as generation of additional economic activity, projected exports from the zone, projected investment, development of infrastructural facilities, and most importantly, employment opportunities to be created in the SEZs.

What is the level of investment and employment expected in the SEZs?

If all the 341 SEZs for which formal approvals have been given become operational, investment of Rs 3,00,000 crore and 4 million additional jobs are expected by December, 2009.

What are the sectors that will benefit from SEZs?

Based on the approvals given so far for the setting up for SEZs, many sectors will benefit in terms of investments they will attract – for example, gems and jewellery, textiles, handicrafts, pharmaceuticals, engineering goods, electronics, telecom equipments, information technology (IT) and IT-enabled services, biotechnology, petroleum and petroleum products and food processing sectors.

Does the central government have any plans to set up new SEZs?

The Central government does not set up any new SEZs. SEZs are set up in the private sector or in association with the state governments in the joint sector or by the state governments and its agencies.